Capital budgeting
Examples of course questions

Course questions :

1. What are sunk costs in capital budgeting ?

2. Do we need only one investment criteria ?

3. How to estimate the debt cost of capital ?

4. Why Modigliani and Miller's propositions are so important ?

Course questions based on a newspaper article :

1. Here is an abstract of a newspaper article.
Comment this news in regards of your knowledge in capital budgeting.

Title : *Surge in borrowing costs hits corporate America*
Authors : *Kate Duguid, Emily Herbert, Joshua Franklin and Michelle Chan*
Oct 6 2026 – Financial Times

A sharp sell-off in US government bonds is starting to reverberate across corporate America, forcing companies to overhaul their borrowing plans and even raising the spectre of defaults among the most lowly rated businesses.

Borrowing costs for companies with the lowest credit ratings hit their highest level since May 2020 this month at 17 per cent, driven by the rise in Treasury yields to multiyear highs and by investors demanding more compensation for lending to such businesses.

The risk premium for companies rated triple C or lower has risen to 12 percentage points, the biggest since 2022.

Analysts said companies with floating-rate loans, and those needing to refinance debt in the coming months, were most at risk from the government bond sell-off, which last week pushed the yield on the 10-year Treasury note to its highest since 2002.

"Investors are increasingly demanding more compensation for taking on the corporate credit risk," said James Reilly, a senior markets economist at Capital Economics….

2. Here is an abstract of a newspaper article.
Comment this news in regards of your knowledge in capital budgeting.

Title: *How Much Debt Is the Right Amount of Debt*
Author : *Fortitude Investment Partners*
15 septembre 2026 - via PUBT

Why the right amount of leverage is typically not zero, and typically not the maximum possible ?

Fortitude's house view

For a private equity-backed business generating $3-20M EBITDA, the optimal amount of debt is typically not zero; and it is not the maximum a lender will provide. Academic research and market evidence place the value-maximising zone for most businesses in this segment between 2.5x and 4.0x Net Debt / EBITDA. Our view sits deliberately below this: we target 1.5x-3.0x for the businesses we back, at entry. The difference is not scepticism about the tax benefits of leverage; it is a clear-eyed view that for SMEs, agility is the primary competitive weapon, and too much debt blunts it….